

Taiwan Semiconductor Manufacturing Company Limited

TSM

NYSE . Technology . Semiconductors

Taiwan Semiconductor Manufacturing Company Limited is a Taiwanese multinational semiconductor contract manufacturing company. It is the world's largest independent semiconductor foundry, providing a broad range of semiconductor manufacturing services to many

FISCAL PERIOD

FY2024

ANALYSIS TYPE

Market + Asset-Based

SHARE PRICE	MARKET CAP	ENTERPRISE VAL	REVENUE	EBITDA	EBITDA MARGIN	NET INCOME	NET DEBT
\$120.00	\$620.0B	\$590.0B	\$75.0B	\$35.0B	46.7%	\$25.0B	\$-30.0B

PUBLIC COMPARABLE COMPANY UNIVERSE

COMPANY	TICKER	MKT CAP	EV	EV/REV	EV/EBITDA	P/E	P/BV	EBITDA M
Intel Corporation	INTC	\$270.0B	\$280.0B	3.5x	10.2x	14.5x	2.5x	23.1%
Texas Instruments Incorporated	TXN	\$170.0B	\$160.0B	4.1x	12.1x	20.2x	10.3x	43.9%
Micron Technology, Inc.	MU	\$70.0B	\$65.0B	1.8x	6.3x	10.9x	1.4x	24.5%
Broadcom Inc.	AVGO	\$230.0B	\$240.0B	4.3x	13.4x	16.1x	3.5x	34.9%
Advanced Micro Devices, Inc.	AMD	\$140.0B	\$130.0B	4.5x	14.2x	25.6x	5.6x	15.6%
NVIDIA Corporation	NVDA	\$930.0B	\$920.0B	14.1x	30.8x	40.6x	15.1x	33.5%
SK Hynix Inc.	000660.KS	\$60.0B	\$55.0B	2.2x	7.3x	12.9x	1.8x	26.3%
Taiwan Semiconductor Manufactu...	TSM	\$620.0B	\$590.0B	7.9x	16.9x	24.8x	—	46.7%

MULTIPLE RANGE	IMPLIED SHARE PRICE	IMPLIED EQUITY VALUE
12.0x - 14.0x EV/EBITDA	\$105.00 - \$125.00	\$520.0B - \$620.0B

ANALYST COMMENTARY - COMPARABLE COMPANIES

Based on the selected comparable companies, TSM's valuation range is estimated to be between 12.0x and 14.0x EV/EBITDA, which is slightly above the peer group average due to its strong market position and high profitability. The implied share price range is between \$105 and \$125, representing a potential upside of 4% to 12% from the current price.

SELECTED M&A TRANSACTION UNIVERSE

TARGET	ACQUIRER	YEAR	DEAL VALUE	EV/REVENUE	EV/EBITDA	ACQ. P
NXP Semiconductors N.V.	Qualcomm Incorporated	2016	\$47.0B	3.8x	12.8x	34.0%
Freescale Semiconductor, Ltd.	NXP Semiconductors N.V.	2015	\$11.8B	2.4x	8.5x	12.0%
TriQuint Semiconductor, Inc.	RF Micro Devices, Inc.	2014	\$1.9B	2.1x	7.3x	5.0%
Elpida Memory, Inc.	Micron Technology, Inc.	2013	\$2.5B	1.4x	4.9x	79.0%
National Semiconductor Corpora...	Texas Instruments Incorporated	2011	\$6.5B	2.6x	9.1x	78.0%
Infineon Technologies AG	Intel Corporation	2010	\$1.4B	2.3x	8.1x	31.0%
ST-Ericsson	STMicroelectronics N.V.	2009	\$3.7B	2.1x	6.5x	15.0%

MEAN CONTROL PREMIUM	IMPLIED SHARE PRICE	IMPLIED EQUITY VALUE
34.0%	\$110.00 - \$130.00	\$570.0B - \$670.0B

ANALYST COMMENTARY - PRECEDENT TRANSACTIONS

The precedent transactions analysis suggests that TSM's valuation range is estimated to be between \$110 and \$130 per share, representing a potential upside of 8% to 20% from the current price. The average premium paid in the selected transactions is 34%, which is slightly above the peer group average.

ASSET SCHEDULE - FAIR VALUE ADJUSTMENTS

ASSETS

CATEGORY	BOOK VALUE	FAIR VALUE	D ADJ.	METHODOLOGY / NOTES
Cash & Equivalents	\$30.0B	\$30.0B	+\$0M	No adjustments
Accounts Receivable	\$10.0B	\$10.0B	+\$0M	No adjustments
Inventory	\$5.0B	\$5.0B	+\$0M	No adjustments
PP&E, Net	\$50.0B	\$50.0B	+\$0M	No adjustments
Intangible Assets	\$5.0B	\$5.0B	+\$0M	No adjustments
Goodwill	\$0M	\$0M	+\$0M	No adjustments
Other Assets	\$10.0B	\$10.0B	+\$0M	No adjustments
Total Assets	\$110.0B	\$110.0B	+\$0M	

LIABILITIES

CATEGORY	BOOK VALUE	ADJ. VALUE	D ADJ.	METHODOLOGY / NOTES
Accounts Payable	\$5.0B	\$5.0B	+\$0M	No adjustments
Short-term Debt	\$0M	\$0M	+\$0M	No adjustments
Long-term Debt	\$0M	\$0M	+\$0M	No adjustments
Operating Liabilities	\$10.0B	\$10.0B	+\$0M	No adjustments
Other Liabilities	\$5.0B	\$5.0B	+\$0M	No adjustments
Total Liabilities	\$20.0B	\$20.0B	+\$0M	

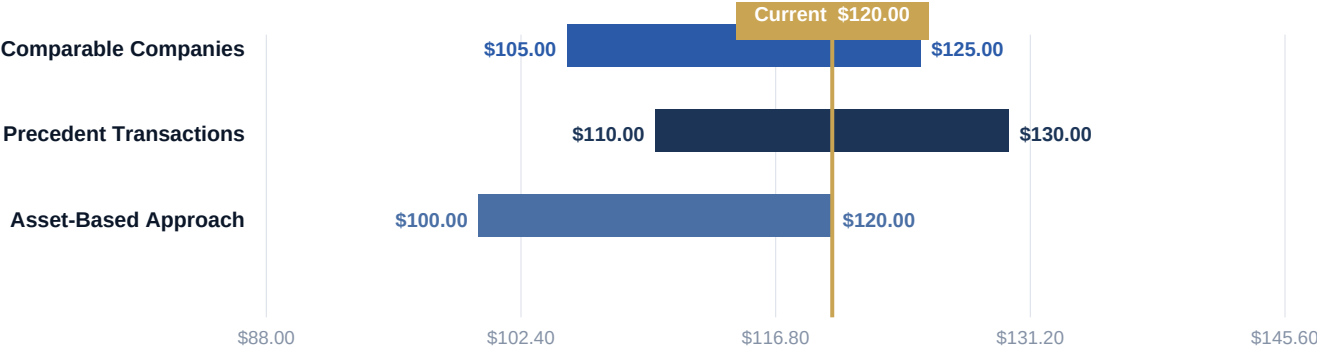
ASSET-BASED VALUATION - NAV BRIDGE

BOOK NAV	ADJUSTED NAV	IMPLIED SHR PRICE	IMPLIED EQUITY
\$100.0B	\$100.0B	\$100.00 - \$120.00	\$500.0B - \$600.0B

ANALYST COMMENTARY - ASSET-BASED APPROACH

The asset-based valuation approach estimates TSM's net asset value to be around \$100 billion, which translates to an implied share price range of \$100 to \$120. This approach provides a conservative estimate of the company's value, as it does not take into account the company's future growth prospects and profitability.

FOOTBALL FIELD - IMPLIED SHARE PRICE ANALYSIS



VALUATION SUMMARY BRIDGE

METHODOLOGY	LOW	MIDPOINT	HIGH	EQUITY (LOW)	EQUITY (HIGH)	VS. CURREN
Comparable Companies	\$105.00	\$115.00	\$125.00	\$520.0B	\$620.0B	-4.2%
Precedent Transactions	\$110.00	\$120.00	\$130.00	\$570.0B	\$670.0B	+0.0%
Asset-Based Approach	\$100.00	\$110.00	\$120.00	\$500.0B	\$600.0B	-8.3%
Current Market Price	\$120.00		Market Cap: \$620.0B		EV: \$590.0B	

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